Capital Commitment

This is also reported along with the company's Contingent Liabilities. These are commitments already made by the company, like investing the amount in a place, work in progress is in flow, and the balance amount has to be paid, etc. All those capital commitments the company has to pay must be reported mandatorily in the Notes to Accounts.

The Capital Commitment that this company reports includes the Estimated amount of contracts, net of advances, remaining to be executed for the acquisition of property, plant, and equipment, and investments not provided for, which stands at Rs.177 Crores.

Reasons for the commitment

This value stands at Rs.177 Crores which the company has resources to pay off. If this amount was 2000 Crores, the company had to manage cash flow, get debt, and add additional resources to meet that commitment.

The above are the different questions that need to be asked.